

1 ENGROSSED HOUSE
2 BILL NO. 4352

By: Wilk, Moore, and Schreiber
of the House

3 and

4 Howard of the Senate
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7 An Act relating to mortgages; enacting the Oklahoma
8 Uniform Mortgage Modification Act; defining terms;
9 providing scope of act; providing list of laws and
10 statutes not affected by the act; exempting certain
11 mortgage modifications from the act; stating the
12 effect of mortgage modifications; directing courts to
13 make certain considerations when applying and
14 construing the act; describing manner by which the
15 act affects the Electronic Signatures in Global and
16 National Commerce Act; declaring that the act does
17 not affect electronic deliveries of certain notices;
18 providing when provisions of the act are applicable;
19 providing severability clause; providing for
20 codification; and providing an effective date.
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22 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

23 SECTION 1. NEW LAW A new section of law to be codified
24 in the Oklahoma Statutes as Section 401 of Title 46, unless there is
created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma
Uniform Mortgage Modification Act".

SECTION 2. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 402 of Title 46, unless there is
created a duplication in numbering, reads as follows:

As used in this act:

1. "Electronic" means technology having electrical, digital, magnetic, wireless, optical, electromagnetic, or similar capabilities;

2. "Financial covenant" means an undertaking to demonstrate an obligor's creditworthiness or the adequacy of security provided by an obligor;

3. "Modification" means a change, amendment, revision, correction, addition, supplementation, elimination, waiver, or restatement;

4. "Mortgage":

a. means an agreement that creates a consensual interest in real property to secure payment or performance of an obligation, regardless of:

(1) how the agreement is denominated, including a mortgage, deed of trust, trust deed, security deed, indenture, and deed to secure debt, and

(2) whether the agreement also creates a security interest in personal property, and

b. does not include an agreement that creates a consensual interest to secure a liability owed by a unit owner to a condominium association, owners' association, or cooperative housing association for association dues, fees, or assessments;

1 5. "Mortgage modification" means modification of:

2 a. a mortgage,

3 b. an agreement that creates an obligation, including a
4 promissory note, loan agreement, or credit agreement,
5 or

6 c. an agreement that creates other security or credit
7 enhancement for an obligation, including an assignment
8 of leases or rents or a guaranty;

9 6. "Obligation" means a debt, duty, or other liability secured
10 by a mortgage;

11 7. "Obligor" means a person that:

12 a. owes payment or performance of an obligation,

13 b. signs a mortgage, or

14 c. is otherwise accountable, or whose property serves as
15 collateral, for payment or performance of an
16 obligation;

17 8. "Person" means an individual, estate, business or nonprofit
18 entity, government or governmental subdivision, agency, or
19 instrumentality, or other legal entity;

20 9. "Recognized index" means an index to which changes in the
21 interest rate may be linked that is:

22 a. readily available to, and verifiable by, the obligor,
23 and
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b. beyond the control of the person to whom the obligation is owed;

10. "Record", used as a noun, means information:

- a. inscribed on a tangible medium, or
- b. stored in an electronic or other medium and retrievable in perceivable form; and

11. "Sign" means, with present intent to authenticate or adopt a record, to:

- a. execute or adopt a tangible symbol, or
- b. attach to or logically associate with the record an electronic symbol, sound, or process.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 403 of Title 46, unless there is created a duplication in numbering, reads as follows:

A. Except as provided in subsection C of this section, this act applies to a mortgage modification.

B. This act does not affect:

- 1. Laws governing the required content of a mortgage;
- 2. A statute of limitations or other law governing the expiration or termination of a right to enforce an obligation or a mortgage;
- 3. A recording statute;
- 4. A statute governing the priority of a tax lien or other governmental lien;

1 5. A statute of frauds; or

2 6. Except as provided in paragraph 8 of subsection B of Section
3 4 of this act, laws governing the priority of a future advance.

4 C. This act does not apply to any of the following
5 modifications:

6 1. A release of, or addition to, property encumbered by a
7 mortgage;

8 2. A release of, addition of, or other change in an obligor; or

9 3. An assignment or other transfer of a mortgage or an
10 obligation.

11 SECTION 4. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 404 of Title 46, unless there is
13 created a duplication in numbering, reads as follows:

14 A. For a mortgage modification described in subsection B of
15 this section:

16 1. The mortgage continues to secure the obligation as modified;

17 2. The priority of the mortgage is not affected by the
18 modification;

19 3. The mortgage retains its priority regardless of whether a
20 record of the mortgage modification is recorded in the county
21 records office in the county where the property is located; and

22 4. The modification is not a novation.

23 B. Subsection A of this section applies to one or more of the
24 following mortgage modifications:

- 1 1. An extension of the maturity date of an obligation;
- 2 2. A decrease in the interest rate of an obligation;
- 3 3. If the change does not result in an increase in the interest
- 4 rate of an obligation as calculated on the date the modification
- 5 becomes effective:
 - 6 a. a change to a different index that is a recognized
 - 7 index if the previous index to which changes in the
 - 8 interest rate were linked is no longer available,
 - 9 b. a change in the differential between the index and the
 - 10 interest rate,
 - 11 c. a change from a floating or adjustable rate to a fixed
 - 12 rate, or
 - 13 d. a change from a fixed rate to a floating or adjustable
 - 14 rate based on a recognized index;
- 15 4. A capitalization of unpaid interest or other unpaid monetary
- 16 obligation;
- 17 5. A forgiveness, forbearance, or other reduction of principal,
- 18 accrued interest, or other monetary obligation;
- 19 6. A modification of a requirement for maintaining an escrow or
- 20 reserve account for payment of an obligation, including taxes and
- 21 insurance premiums;
- 22 7. A modification of a requirement for acquiring or maintaining
- 23 insurance;
- 24 8. A modification of an existing condition to advance funds;

1 9. A modification of a financial covenant; and

2 10. A modification of the payment amount or schedule resulting
3 from another modification described in this subsection.

4 C. The effect of a mortgage modification not described in
5 subsection B of this section is governed by other law.

6 SECTION 5. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 405 of Title 46, unless there is
8 created a duplication in numbering, reads as follows:

9 In applying and construing this uniform act, a court shall
10 consider the promotion of uniformity of the law among jurisdictions
11 that enact it.

12 SECTION 6. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section 406 of Title 46, unless there is
14 created a duplication in numbering, reads as follows:

15 This act modifies, limits, or supersedes the Electronic
16 Signatures in Global and National Commerce Act, 15 U.S.C., Section
17 7001 et seq., but does not modify, limit, or supersede 15 U.S.C.,
18 Section 7001(c), or authorize electronic delivery of any of the
19 notices described in 15 U.S.C., Section 7003(b).

20 SECTION 7. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 407 of Title 46, unless there is
22 created a duplication in numbering, reads as follows:

1 This act applies to a mortgage modification made on or after the
2 effective date of this act regardless of when the mortgage or the
3 obligation was created.

4 SECTION 8. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 408 of Title 46, unless there is
6 created a duplication in numbering, reads as follows:

7 If a provision of this act or its application to a person or
8 circumstance is held invalid, the invalidity does not affect another
9 provision or application that can be given effect without the
10 invalid provision.

11 SECTION 9. This act shall become effective November 1, 2026.

12 Passed the House of Representatives the 24th day of March, 2026.

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Presiding Officer of the House
of Representatives

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17 Passed the Senate the ____ day of _____, 2026.

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Presiding Officer of the Senate

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